

Misleading Cryptoassets

One of the most important actions innovative investors can take to protect themselves from misleading characters is to do their homework on the backgrounds of the main parties involved in a cryptoasset, especially if it's been newly issued. If not much can be found about the specific characters involved, that's immediately a bad sign, as it means the creators don't want to be identified or held accountable for what happens with that asset.

Next, investigate the materials the cryptoasset team members have created. If their website, white paper, or other materials are filled with typos, formatting mistakes, or anything else that shows a lack of care, then take this also as a warning. A team who doesn't care enough to present themselves well, likely doesn't care if they mislead investors.

Many conversations and much information flow takes place on Reddit, Twitter, in Slack Channels, and so on, not on the well-manicured pages of tech and investing websites. The lack of easily accessible information and standardization of necessary information are weaknesses of the cryptoassets space. It is the reason, after all, that you are reading this book.

THE FINE LINE BETWEEN MISLEADING AND A MISTAKE

Dash, a coin that rose to fame in late 2016 and early 2017 due to its stratospheric price increase, had what many would call a misleading issuance. In the first 24 hours that the coin went live, over 1.9 million dash were mined, which was not part of the original plan. While Dash's